

trip, you have to know the rules of the road and pass wealth “driver’s education”—basic finance and economics.

LIVE BELOW YOUR MEANS—SLOWLANE?

The first rule of financial literacy: “Live below your means.” Yes, a pragmatic doctrine echoed from Slowlane dogmaticians that is an affable replacement for its mathematical equivalent of “Keep expenses under your income.” Earn 10 bucks and don’t spend 20. But is it Fastlane relevant? Absolutely, with one distinction: *Live below your means with the intent to expand your means.*

“Live below your means” is relevant at any income level. The key variable is the word “means.” If Bill earns \$50,000 and Jack earns \$1 million, who has the greater means? Who will live the extravagant lifestyle? Both might be living “within their means,” but Jack has a drastically different lifestyle. Remember, *Slowlaners seek to minimize expenses while the Fastlaner seeks to maximize income and asset values.*

You can live richly and still live below your means, but for Fastlaners it’s a big challenge because we get paid first, not last. Tax bills come long after the income is earned, and “live below your means” requires above-average discipline.

A FINANCIAL ADVISER DOESN’T FIX ILLITERACY

I am my own financial adviser because I don’t like losing control. Hiring a financial adviser might make sense to you aside from one caveat: *Hiring a financial adviser doesn’t fix financial illiteracy.* Yes, just because you had salad for lunch, it doesn’t mean you can eat doughnuts for dinner. If you hire a financial adviser, you need competency to assess his advisement. Is your adviser advising a bond in a rising interest rate environment? Is your adviser advising treasuries when they are overbought? Is your adviser advising an investment that seems “too good to be true?” *Literacy gives you the power to evaluate your adviser’s advice.*

In October 2009, actor Nicolas Cage, who reportedly earned more than \$40 million in 2008, sued his former business manager for \$20 million, accusing him of poor advisement and leading him down a path toward financial ruin. Cage contended that his manager exposed him to a basket of risky investments resulting in catastrophic losses. In a countersuit filed later, Cage’s former business manager blamed “lavish spending” on Cage’s financial difficulties—not his advice. Whatever the truth, if you can’t audit your adviser, you don’t have control. If you can’t critique good advice from bad you don’t have control. For those who hire financial planners, *literacy is insurance.* Financial advisers do not solve financial illiteracy just as more money doesn’t solve poor money management.

Financial illiteracy exposes you to risk, and in the worst case scenario, fraud. Bernard Madoff’s investment fund defrauded thousands, and billions were lost, but what’s more shocking is that the whistle was blown years before. You see,